

Product Requirements Document: Construction Payroll System (Tier 3)

1. Introduction

This document outlines the functional requirements for a Tier 3 construction payroll system, specifically designed to manage High Complexity scenarios involving certified, non-union payroll. This system is intended for contractors working on government-funded projects subject to prevailing wage laws, such as the federal Davis-Bacon Act.¹ It incorporates all Core Payroll Functionality from the Tier 1 system and adds the specialized features necessary to ensure compliance with complex wage determinations and mandatory certified payroll reporting.²

2. Target Users

The target users for this system remain the same as in the Tier 1 scenario, but with expanded responsibilities related to government contract compliance:

- **Payroll Administrators:** Primary users responsible for managing prevailing wage determinations, processing payroll with fringe benefit calculations, and generating weekly certified payroll reports.
- **Compliance Managers/HR:** Responsible for ensuring all wage and reporting requirements for government contracts are met to avoid penalties.³
- **Company Owners/Executives:** Require assurance of compliance to maintain eligibility for government projects and avoid financial risk.²
- **Project Managers:** Need to track labor costs against prevailing wage requirements and ensure correct job classifications are used on certified projects.¹

3. Functional Requirements

The following requirements are additive to the Tier 1 system. All Tier 1 features are considered a prerequisite.

3.1. Core Payroll Functionality (Prerequisite)

All functional requirements outlined in the "Product Requirements Document: Construction Payroll System (Tier 1)" are considered the baseline for this system.¹ The following sections detail the additional features required to manage certified, non-union payroll.

3.2. Prevailing Wage & Rate Management

This module is the core of the Tier 3 system, designed to automate the complex calculations required by prevailing wage laws.¹

- **FR-H1.1: Wage Determination Management:** The system must allow for the import and management of prevailing wage determinations (wage decisions) by locality, job classification, and effective date.¹
- **FR-H1.2: Prevailing Wage Rate Configuration:** Must support the configuration of prevailing wage requirements for each job classification on a project, including the specific base wage rate and the required fringe benefit rate.¹
- **FR-H1.3: Automated Wage Comparison:** The system must automatically compare an employee's actual compensation (base pay plus the value of any "bona fide" fringe benefits) against the required prevailing wage for their specific job classification and project.¹
- **FR-H1.4: Cash-in-Lieu of Fringe Calculation:** If the value of the employer's provided benefits does not meet the required prevailing wage fringe rate, the system must automatically calculate the shortfall and pay it to the employee as additional cash wages ("cash equivalent").¹

3.3. Certified Payroll Reporting

This module provides the essential, non-negotiable compliance documentation for government-funded projects.⁴

- **FR-H2.1: Automated Federal WH-347 Generation:** The system must automatically generate the weekly Federal WH-347 Certified Payroll Report.⁵
 - **FR-H2.1.1: Required Field Population:** The report must include all federally mandated fields: employee name, job classification, daily and total hours, rates of pay, gross earnings, itemized deductions, and net pay.⁴
 - **FR-H2.1.2: Statement of Compliance:** The system must generate the accompanying Statement of Compliance for attestation.¹
- **FR-H2.2: State-Specific Report Support:** Must support the generation of state-specific certified payroll reports (e.g., California DIR, New York DOL) that have unique formatting and field requirements.⁴
- **FR-H2.3: Apprentice Tracking:** The system must allow for the tracking and reporting of apprentices, including their specific certified wage rates and ratios as required by the project.¹
- **FR-H2.4: Compliance Validation:** The system must include a validation step to automatically flag potential underpayments or discrepancies against the prevailing wage determination before the final report is generated.¹
- **FR-H2.5: Electronic Export:** Must provide the ability to export certified payroll reports in required electronic formats (e.g., PDF, XML) for submission to government agencies.¹

3.4. Enhanced Project & Compliance Management

This module adds the necessary data layer to manage the specific compliance details of certified projects.¹

- **FR-H3.1: Project-Specific Wage Association:** The system must allow for the direct association of a specific prevailing wage determination to each certified project.¹

- **FR-H3.2: Contract Data Tracking:** Must provide fields to track critical project information, such as contract numbers, prime contractor details, and project funding sources.¹
- **FR-H3.3: Fringe Benefit Plan Record-Keeping:** The system must maintain records for all company-provided fringe benefit plans (e.g., health insurance, 401k) to demonstrate their "bona fide" status and justify their value for prevailing wage credit.¹

4. Non-Functional Requirements

- **NFR-P1: Performance:** The system must process payroll for 500 employees within 30 minutes.¹
- **NFR-P2: Reporting Performance:** Must generate a complex certified payroll report (e.g., WH-347 for 200 employees) in under 5 minutes.¹
- **NFR-S3: Security:** Must feature role-based access control (RBAC) to ensure data confidentiality. All sensitive employee and project data must be encrypted at rest and in transit.¹
- **NFR-U1: Usability:** The interface for managing wage determinations and reviewing certified reports must be intuitive to minimize errors and training requirements.¹
- **NFR-R1: Reliability:** Must maintain 99.9% uptime for all core payroll and reporting features.¹
- **NFR-I1: Integration:** Must offer a robust API for integration with common construction accounting/ERP systems to ensure labor cost data is consistent across all platforms.¹